Wapic Insurance Plc.

FY 2016 Financial Results
Presentation to Investors & Analysts

April 4, 2017

Presenters

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Chief Financial Officer

Zina Y. Giwa-Amu
Strategy, IT & Investor Relations

MOOV

Protect your vehicle
the smart way.

Speaker Topics

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

Outlook

Creating sustainable value

3 Operating entities

153 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

6 Regional offices in Nigeria
(Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

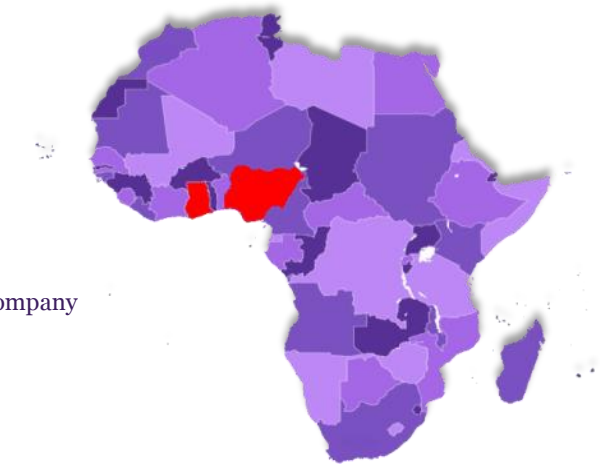
N27billion
Portfolio

850,000+
Shareholders

17 Billion
Assets Under Management

WAPIC Insurance Plc.
(Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Presence	• **Nigeria and Ghana**
Listings	• **Nigerian Stock Exchange** • **GDR Depositary Bank - Bank of New York, Mellon**
Rating (AM Best)	• **C++ (Financial Strength Rating/Stable Outlook)** • **b+ (Issuer Credit Rating/Stable Outlook)**
Actuaries	H R Nigeria Limited; ALEXANDERFORBES
Re-insurers	Munich RE; AFRICA RE; CONTINENTAL REINSURANCE; WAICA RE; Ghana Re; Nigeria Reinsurance Corporation
Auditors	• PwC

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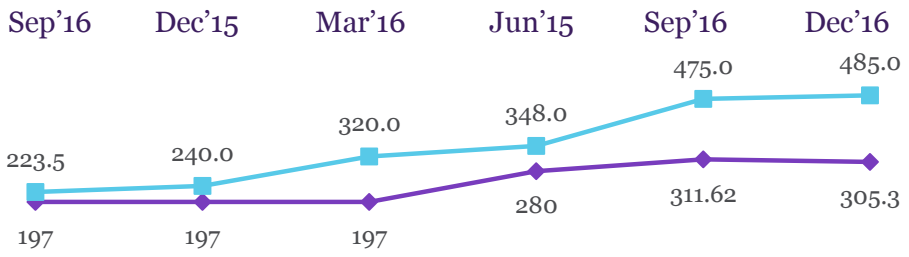
Operating environment

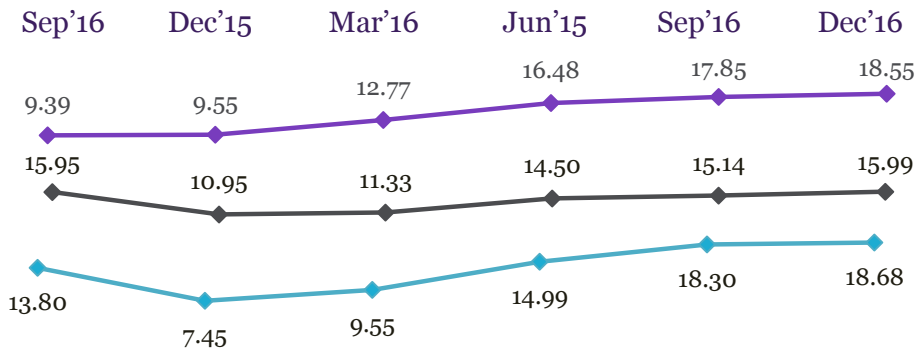
FX Rate N/$



Following the introduction of the managed floating exchange rate regime in June 2016, the Naira has significantly depreciated against the Dollar with a growing gap between the official and parallel rates. Despite this the foreign reserves have been growing steadily, rising to $25.84bn at the end of Q4 2016, largely due to the rising global oil prices.

Official Rate — Parallel Mkt —

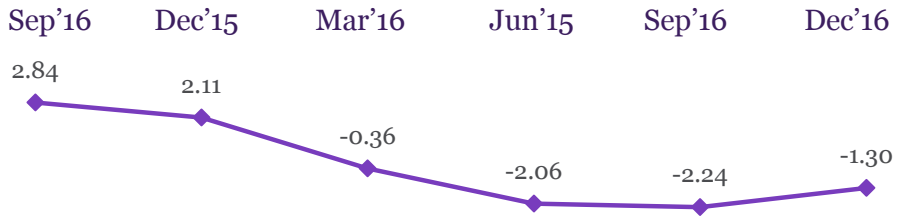
Inflation, Bonds & T-bills



Inflation continued an upward trend albeit at a slower rate; rising to 18.55% in Q4 2016. this was driven by the lingering effects of Naira devaluation, scarcity of FX and uncertainty in monetary policies.

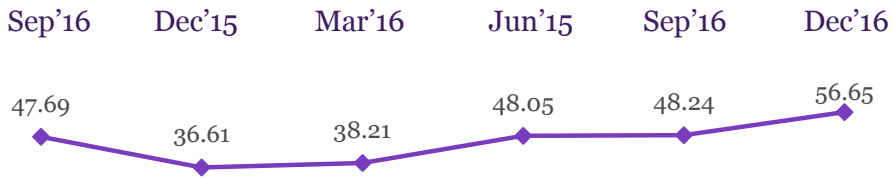
Inflation — 5-yr FG Bonds — 1-yr TBills —

GDP Growth (%)



GDP contracted by -1.30% in Q4 2016 which implies an estimated contraction of -1.51% for FY 2016 majorly due to FX scarcity, delayed fiscal stimulus and lack of clarity on government policy direction. The slight growth in Q4 2016 reflects the gradual improvements in several key sectors of the economy and a slowing month-on-month inflation growth.

Crude Oil $/barrel



Oil prices increased to almost $57 per barrel in Q4, the highest in 16 months extending gains after OPEC and Russia agreed to restrict global output in order to rebalance the market and reduce the global supply glut more quickly.

Source: CBN, National Bureau of Statistics (NBS), Business Monitoring International (BMI)

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Regulatory and industry environment

NAICOM and PENCOM are seeking ways to strengthen the process of administration of retirees' life annuity. This follows PENCOM's directive mandating life insurers to stop annuity business and transfer their annuity assets to PFC.

NAICOM stated its commitment to re-launching the Market Development and Restructuring Initiative (MDRI) in order to create more access to insurance services. NAICOM also stated that special and intensified implementation efforts would be made on Enforcement of compulsory insurance, diversification of distribution channels and increase in access points for insurance services.

NAICOM released a circular on the "Utilisation of In-country Capacities of Nigerian Insurers, Reinsurers and Pools Prior to Foreign Facultative Reinsurance" aimed to ensure insurance companies exhaust all locally recognized capacities prior to applying for approval to cede certain proportion of some risks offshore.

As part of its five-year strategy to enhance inclusive growth and generate better value for contributors, the National Pension Commission (PENCOM) has detailed a plan to deploy at least 40% of the country's total pension funds, about N2.3trillion into investments in infrastructure development by 2019.

NAICOM has announced that it has concluded plans to make available the operational guidelines meant to regulate the partnership business between insurance industry operators and other sectors in the distribution channels such as Banks and Telcos in the country.

To ensure the protection of policyholders and beneficiaries of insurance contracts against unexpected losses, NAICOM is set to commence a verification of the capital resources of all insurance companies in the first quarter of 2017. The exercise would entail a verification of the assets and liabilities of all insurance companies

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		2016	2015		%Δ
Earnings	Total Income	12,394	10,425	↑	+19
	Gross Written Premium	8,005	7,101	↑	+13
	Net Underwriting Income	4,943	4,370	↑	+13
	Total Underwriting Expenses	4,563	2,893	↑	+58
	Underwriting profit	381	1,478	↓	-74
	Net Investment & Other Income	3,737	2,894	↑	+29
	Expenses & Provisions	4,150	3,468	↑	+20
	Profit before Tax	1,193	1,668	↓	-28
	OPEX ratio	52%	49%	↑	+6
	Net claims ratio	67%	41%	↑	+61
	Earnings Per Share (Kobo)	4	10	↓	-60

		2016	2015		%Δ
Financial Position	Financial Assets	7,401	4,313	↑	+72
	Reinsurance Assets	1,573	923	↑	+70
	Total Assets	25,902	23,695	↑	+9
	Total Liabilities	9,336	8,732	↑	+7
	Shareholders' Funds	16,566	14,962	↑	+11
	Solvency Ratio	266%	250%	↑	+6
	ROA	5%	7%	↓	-35
	ROE	4%	9%	↓	-59

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Income statement review

NGN million

	2016	2015	%Δ
Gross Written Premium	8,005	7,101	+13
Reinsurance expenses	3,295	2,208	+49
Net claims expenses	2,869	1,635	+75
Underwriting expenses	1,681	1,229	+37
Underwriting profit	381	1,478	-74
Investment income	1,018	1,376	-26
Other operating income	2,334	391	+497
Operating expenses	4,150	3,468	+20
Profit before tax	1,193	1,668	-28

Highlights

- GWP increased by 13% YoY to N8bn at the end of the financial year 2016, up from N7.1bn achieved in the prior year.
- Reinsurance expenses grew by 49% to N3.3bn as at Dec'16 from N2.2bn in Dec'15; driven by an increase in facultative reinsurance to balance exposure on specific risks particularly in the Oil and Energy and Group Life portfolios.
- Increase in claims settlement for the year drove the 75% YoY growth in Net Claims Expenses from N1.6bn in 2015 to N2.7bn in 2016.
- The 497% increase in other operating income was largely driven by realised foreign exchange gains.
- Underwriting profit was impacted primarily by the increased claims payout experience for the period in Nigeria and legacy claims cleanup in Ghana.
- Operating expenses (inclusive of personnel costs and provisions) closed at N4.2bn as at Dec'16, a 20% increase from the prior year.

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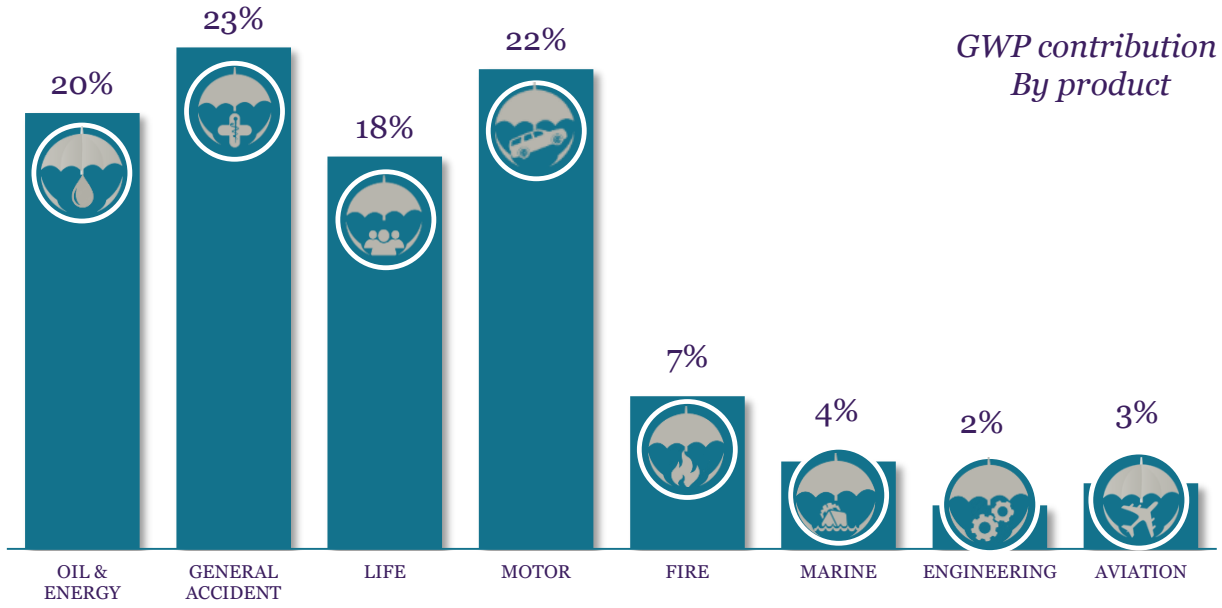
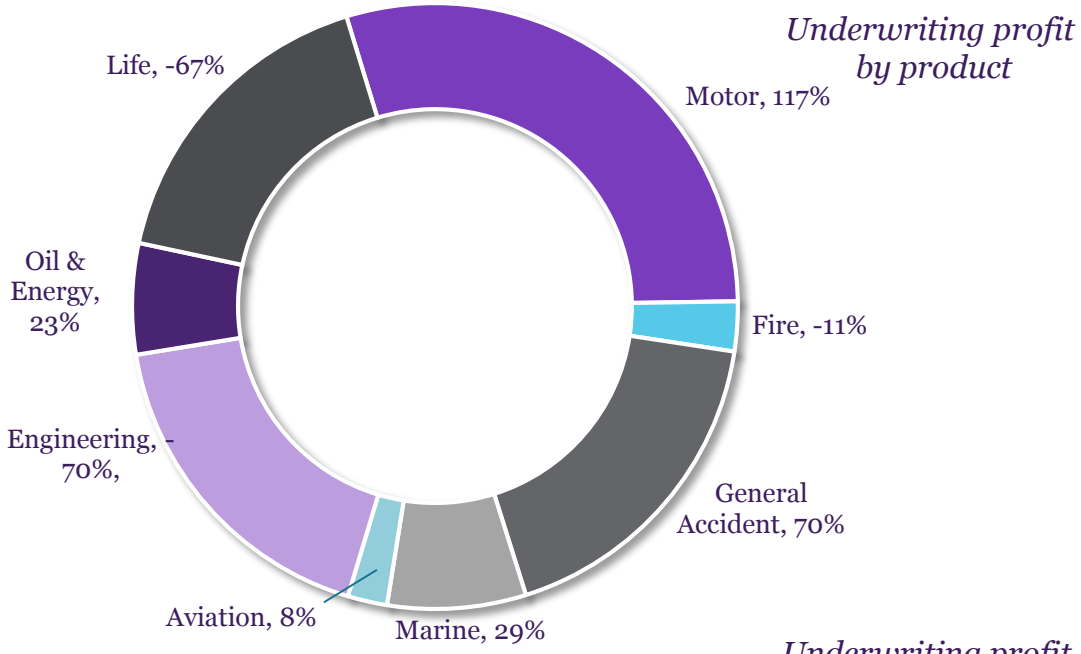
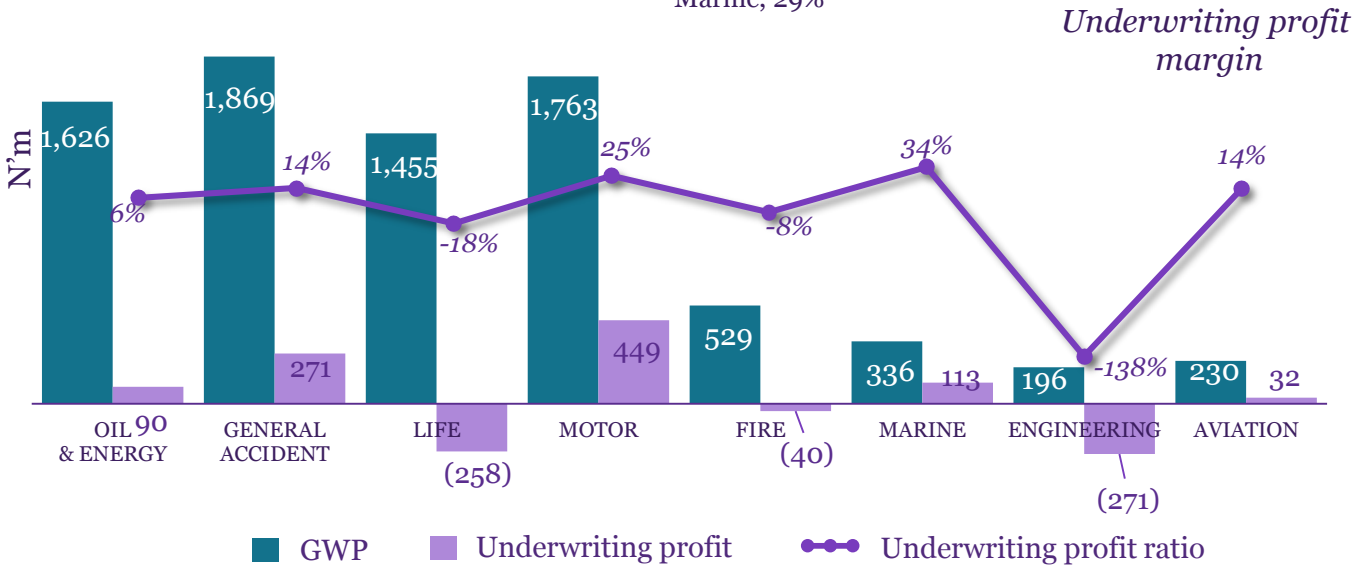
Product performance





Highlights

- General Accident is the top performer for the period at 23% contribution to the Group's GWP, followed closely by Motor at 22%. Oil & Energy and Life showed equally good performances at 20% and 18% respectively.
- Motor is the Group's most profitable product, leading with a 117% contribution to underwriting profit. It is followed by General Accident at 70%
- The increased growth and profitability of the motor portfolio is evidence of the company's commitment to driving the flagship motor product, MOOV.



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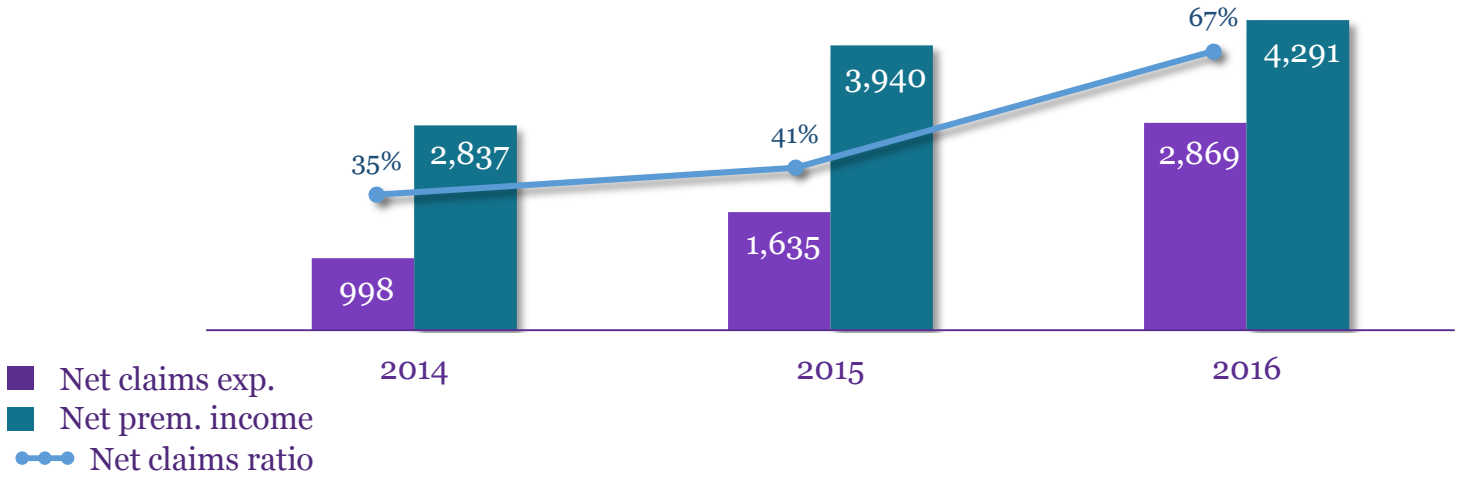
Group expenses

NGN million

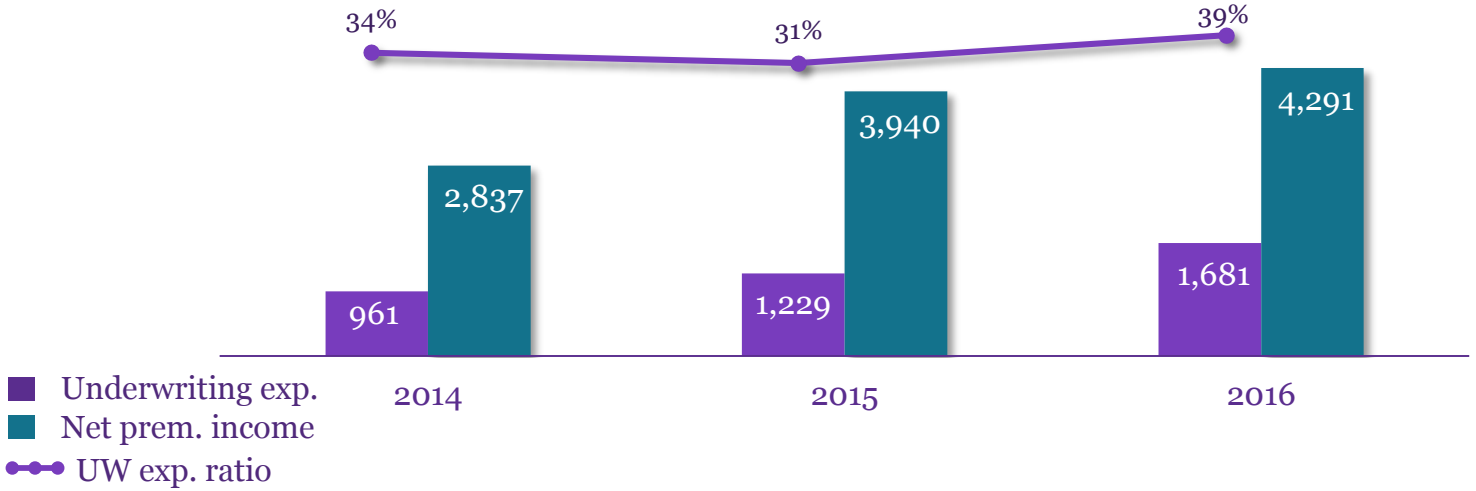
Net claims expenses

- Net claims expenses grew by 75% YoY, to close at N2.9bn in 2016 (FY'15: N1.6bn). This was partly impacted by:
  - a rise in frequency of claims owing to the overall economic downturn in 2016
  - an increase in IBNR, due to the growth in GWP. This reflects the prudent approach we take in allowing for the possibility of latent claims
- As a result of the foregoing, Net Claims Ratio increased to 67% in FY 2016 compared with 41% in the corresponding period of 2015.



Underwriting expenses

- Underwriting expenses went up by 37% from the prior year's position to N1.7bn in FY 2016. This is due to the growth in GWP and increased share of corporate business portfolio.
- Underwriting expense ratio grew to 39% in FY 2016, a minimal increase compared with 31% in Q3 2015.



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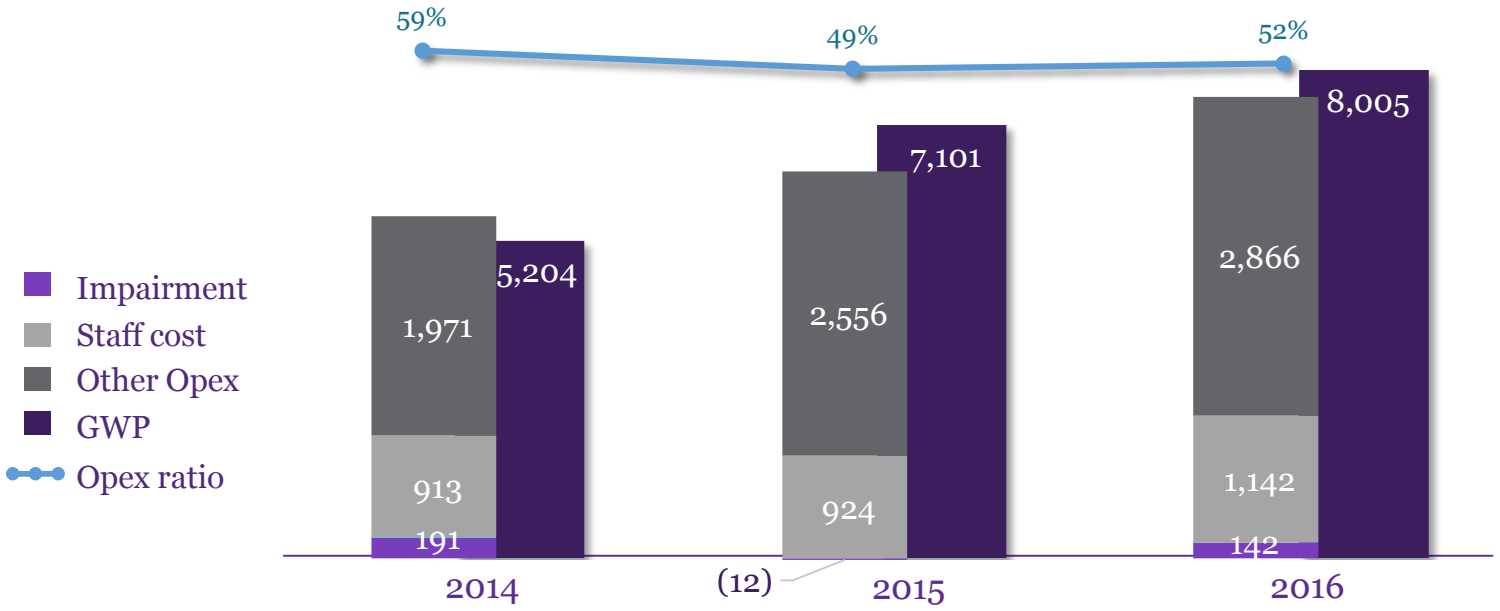
Group expenses

NGN million

Operating expenses

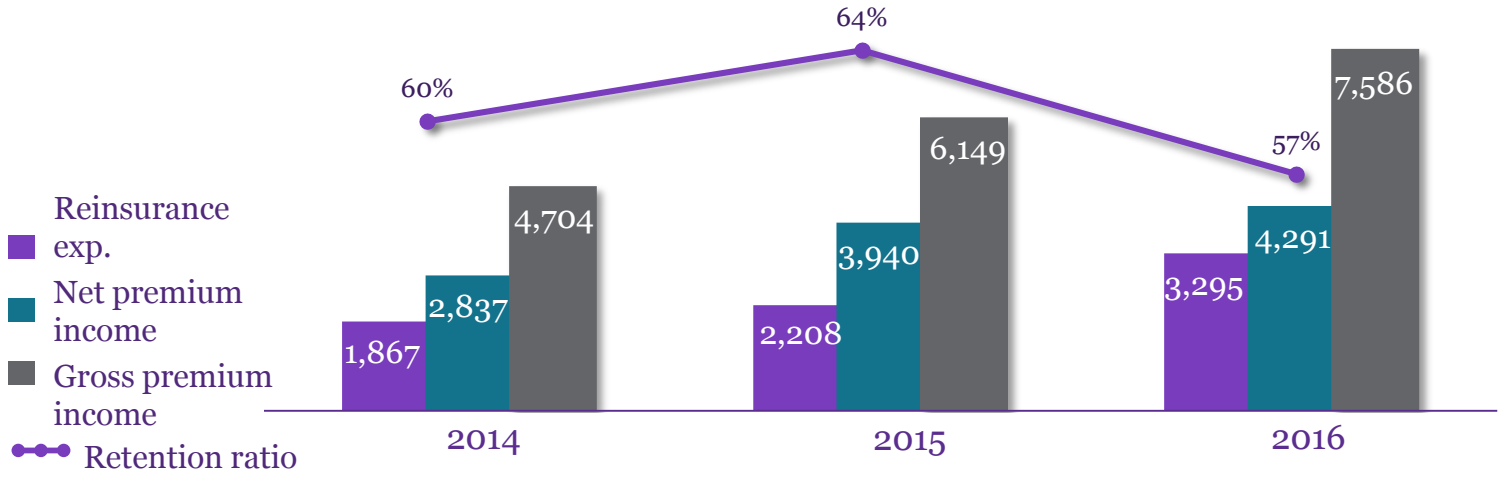
- Operating expenses rose by 20% YOY to N4.1bn in 2016 (2015: N3.5bn)

Key Drivers:
- The company's investment in people, new product R&D as well as branding and marketing.
- Upgrade of our technology solution for business process optimisation, greater efficiency and seamless operations to achieve the highest level of customer satisfaction.
- Increased costs was also impacted by rising inflation and the depreciation in Naira during the year.



Reinsurance expenses

- Reinsurance expenses grew to N3.2bn, a 49% YoY growth from N2.2bn in 2015.
- We have optimized our reinsurance processes to adequately manage underwriting expenses, benefits we expect in 2017.



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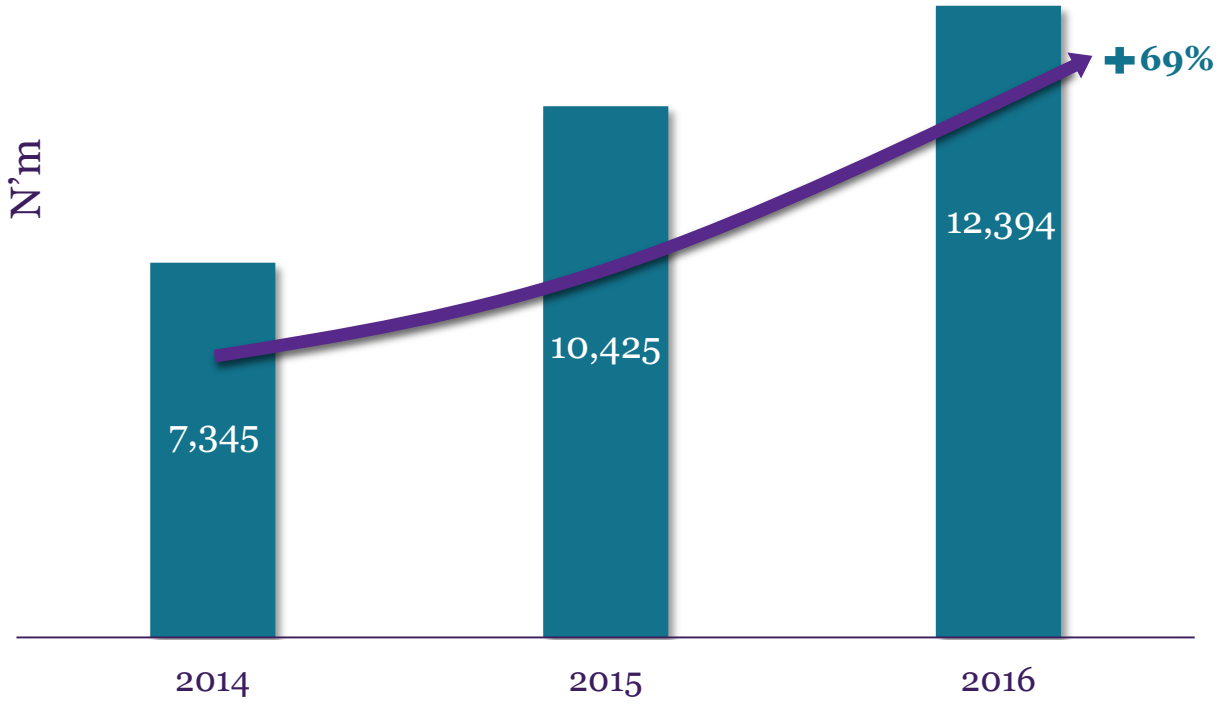
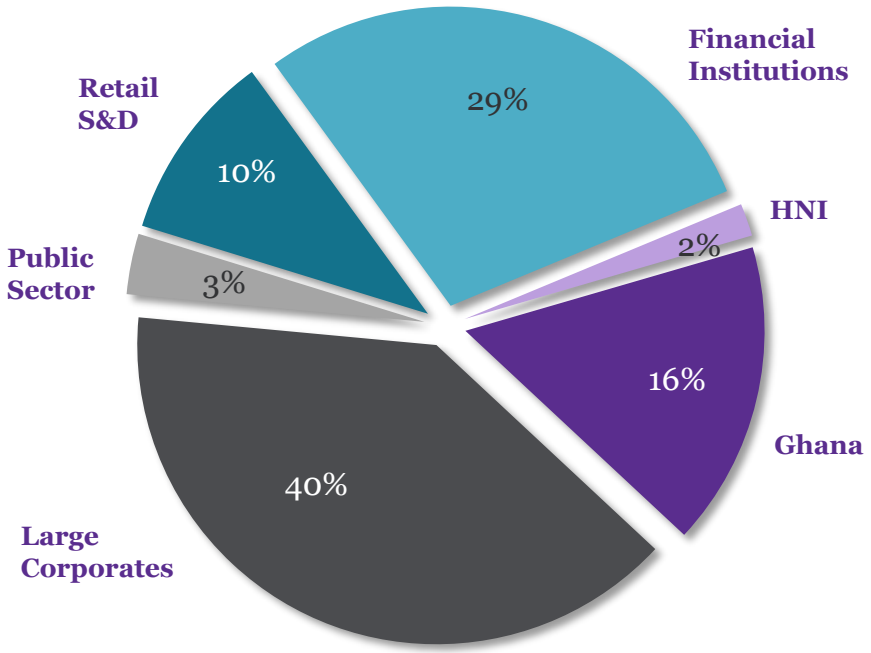
Revenue

Group Total Income



GWP contribution by Business Groups



- The Group's Total income grew by 19% YoY to close at N12.3bn for the financial year 2016 (2015: N10.4bn)
- Wapic Ghana contributed 16% to the Group's GWP, a 78% upturn from its 9% contribution for the prior year 2015. This is evidence of Wapic's effective awareness drive and increasing share of the Ghanaian insurance market space.
- The Large Corporates group was the largest contributor to the Group's GWP in 2016 at 40%, followed by Financial Institutions group at 29%.
- Wapic has repositioned its teams for improved relationship and service delivery, a restructuring that is paying off.

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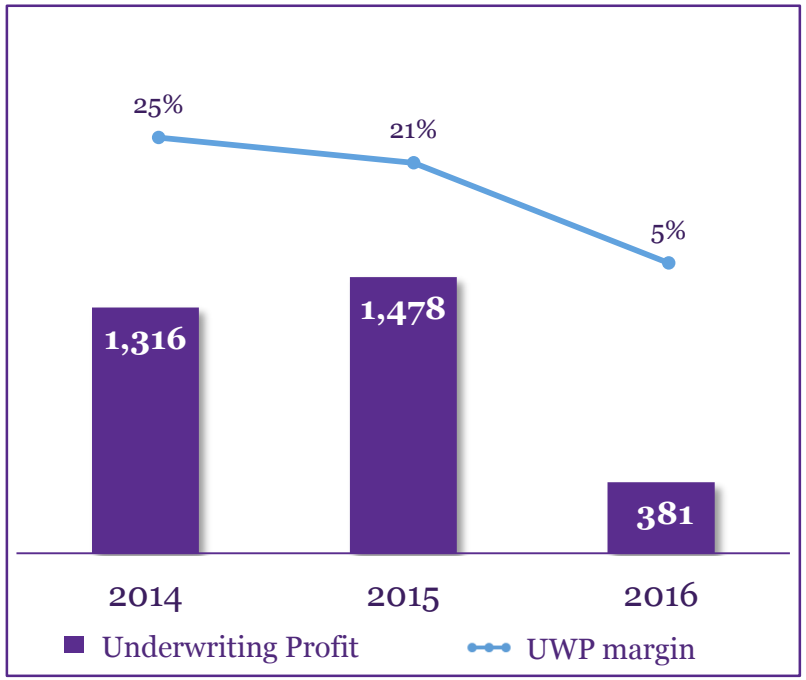
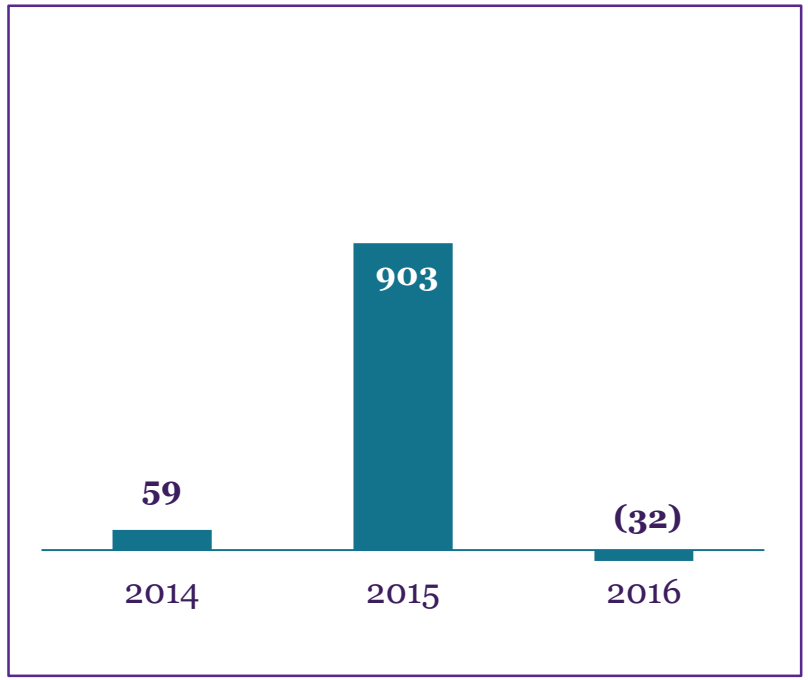
Group profit position

N'm

Underwriting profit



Operating profit



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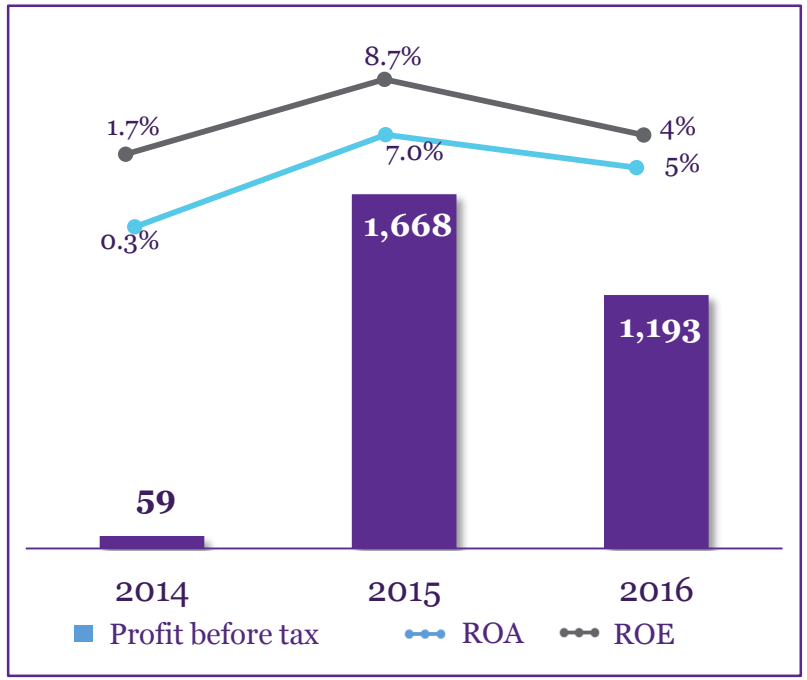
Profit before tax



- Increased claims settlement for the period largely impacted the Group's underwriting profit position causing a steep decline by 74% to N381m in 2016 (2015: N1.4bn). This resulted in an underwriting profit margin of 5% - a 76% decrease from preceding year, 2015.
- The drop in underwriting profit further impacted the PBT position for the period which closed at N1.2bn as FY'16, representing a 28% decrease compared to 2015.
- ROA and ROE maintained positive positions at 5% and 4% respectively for the period.

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SOFP Review

Assets under Management

Statement of financial position

NGN million	FY'16	FY'15	%Δ
Cash and cash equivalents	2,220	7,054	-69
Financial assets	7,401	4,313	+72
Reinsurance assets	1,573	923	+70
Trade receivables	554	552	+0.3
Other receivables & Prepayment	1,145	1,224	-7
Investment property	540	675	-20
Investment in associate	7,174	5,244	+37
Fixed assets and intangibles	4,229	2,410	+75
Other assets	1,066	1,300	-18
Total assets	**25,902**	**23,695**	+9
Trade payables	236	211	+12
Provisions & other payables	1,320	2,497	-47
Current income tax liabilities	208	152	+37
Insurance contract liabilities	6,374	4,677	+36
Investment contract liabilities	920	1,196	-23
Total liabilities	9,336	8,732	+7
Equity	16,556	14,962	+11
Total equity & liabilities	**25,902**	**23,695**	+9

Highlights

- Cash and cash equivalents dropped by 69% compared to FY'15 due to portfolio realignment to take advantage of higher-yielding assets.
- The 72% growth in financial assets reflects the company's switch from cash and cash equivalent to take advantage of elevated yield in fixed income securities.
- Reinsurance Assets increased by 70% YoY to N1.6bn in FY'16 (FY'15: N923m) driven by the growth in reinsurance expenses arising from a growth in the GWP
- The equity value of investment in Associate grew by 37% YoY to N7.2bn in 2016. This was driven by an increase in share holdings as well as share of profit during the period.
- Investment Property further declined by 20%, in line with the company's strategic shift to higher-yielding assets.
- Insurance contract liabilities increased by 36% from FY'15, following a growth in GWP during the period.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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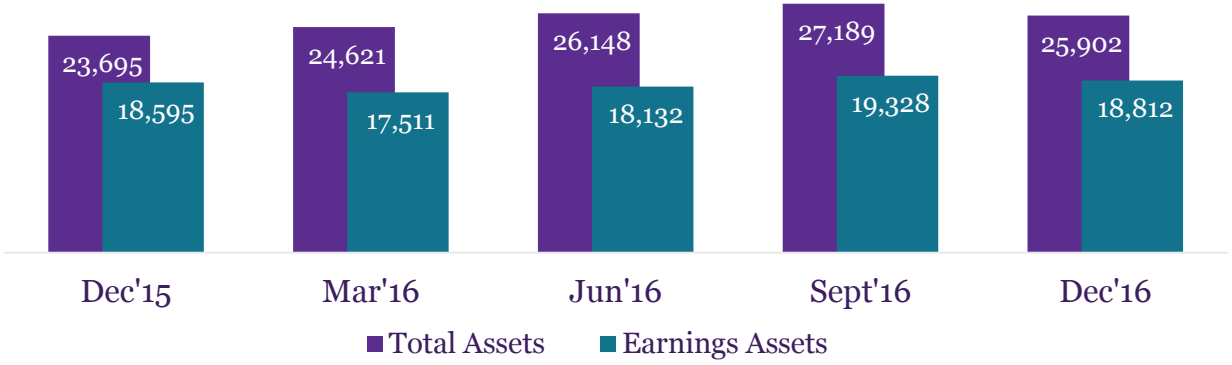
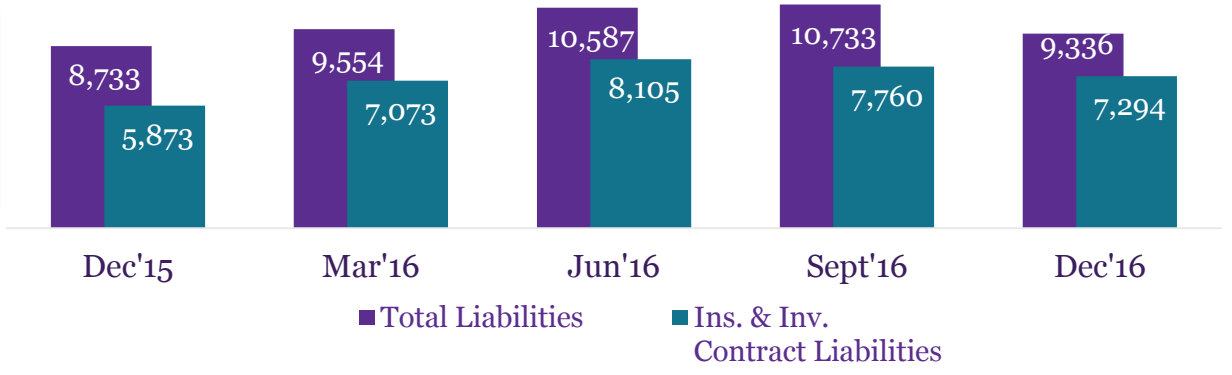
Highlights of financial position

NGN million

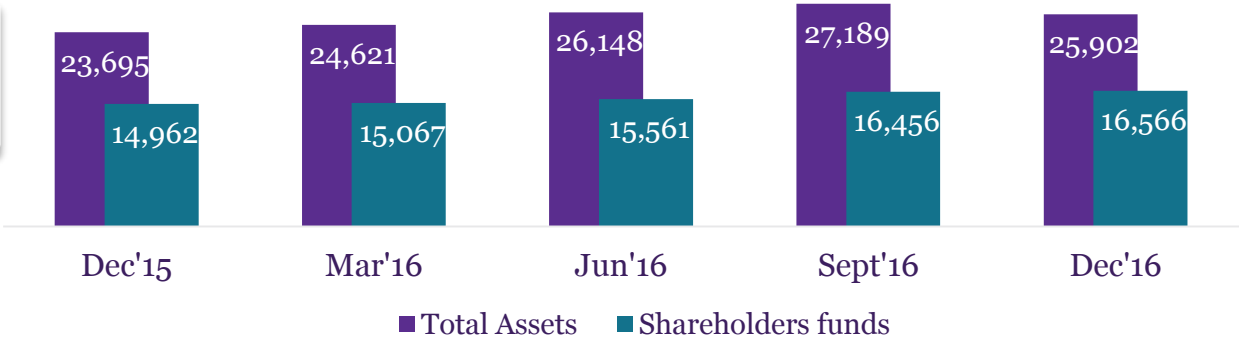
Total Assets & Earnings Assets



Insurance & Investment Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- Earnings assets to Total assets ratio down slightly by 7% from the FY'15 position to 73% in FY'16 due to increased investment in fixed assets, while the Group's Total assets increased by 9% to N26bn for FY'16 (FY'15: N24bn)
- Insurance and Investment contract liabilities stood at N7.3bn representing a 24% YoY growth from the FY'15 position of N5.9bn.
- Total liabilities grew by 7% to N9.3bn in the period under review compared with FY'15 position. Key drivers include growth in Insurance contract liabilities and income tax liabilities recorded for the period.
- The Group's Shareholders funds increased by 11% to N16.6bn in FY'16 (FY'15, N14.9bn).
- Total Assets stood at N25bn at the end of December 2016, a 9% growth compared to the corresponding period in 2015.

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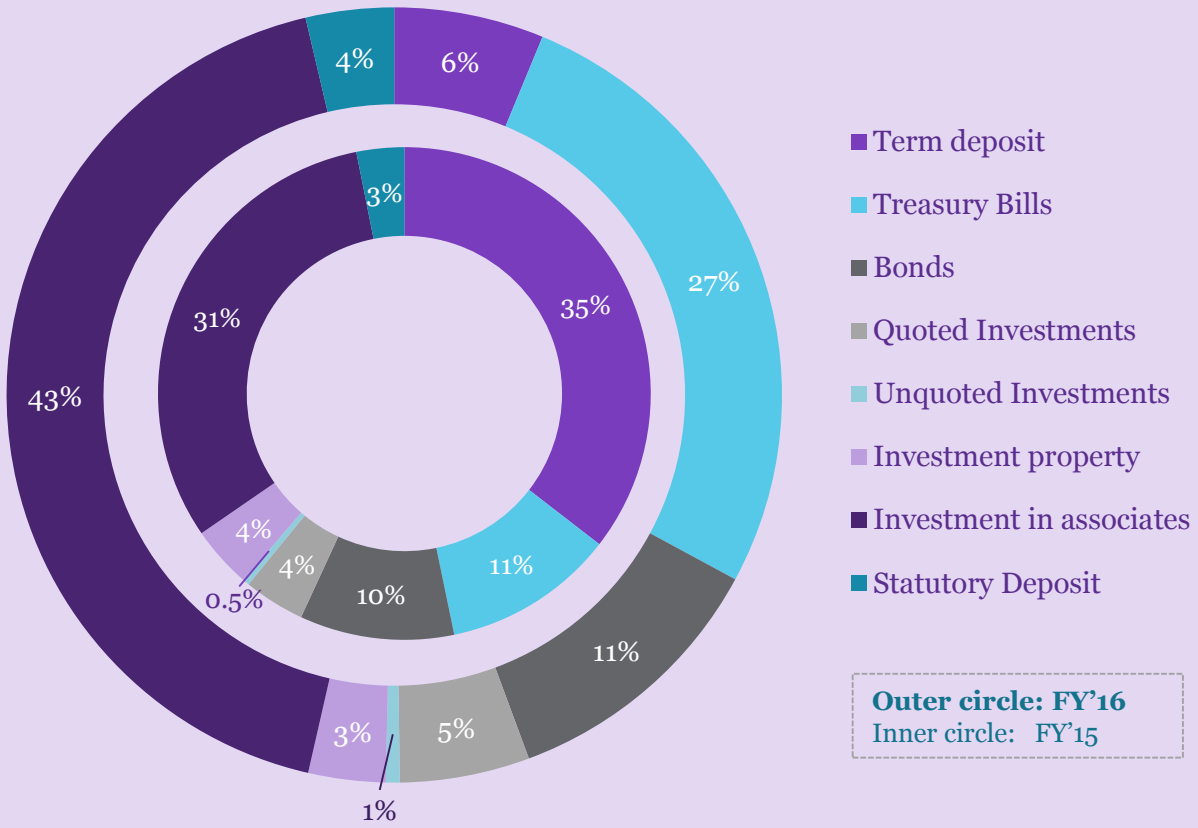
Assets Under Management

Assets under management

N'm	FY'16	FY'15
Term Deposits	1,048	5,912
Treasury Bills	4,471	1,880
Bonds	1,924	1,689
Quoted Investments	909	668
Unquoted Investments	98	76
Investment Property	540	675
Investment in Associate	7,174	5,244
Statutory Deposit	618	522



- The investment portfolio composition maintains a high allocation to the fundamentally strong associate and subsidiaries as well as fixed income securities with high yield. The property portfolio reduced in line with the strategy to fully exit the underperforming legacy properties.
- Growth in the value of investment in associates is reflective of the Group's share of profit in CMB and an additional equity investment to maintain a 25% minimum shareholding.
- Treasury bills and money market deposits were rebalanced to take advantage of uptick in yields; while additional acquisition was made to position Wapic for other prospects in the associate.
- A portion of the exchange gains on Available For Sale(AFS) Foreign exchange securities was realized in the period. The unrealized foreign currency assets still have significant positive exchange gains based on current valuation.

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How we build for the future

FINANCIAL

- We continue to proactively drive for a solid solvency margin, ahead of an expected regulatory change in capital adequacy rules.
- We expect continued YoY growth in our topline figures in line with our strategic growth expectations.
- We shall maintain a continuous focus on cost optimization in order to meet our strict target cost-to-income ratio.
- We shall seek to educate shareholders about the benefits of the Global Depositary Program for greater security of investment funds.

OPERATIONAL

- We have optimized our reinsurance processes to adequately manage underwriting expenses.
- We are concluding the implementation of technology solutions to enhance service delivery and overall customer experience. We reiterate our aim to be a leading full-service insurance provider by 2019.
- Wapic continues a disciplined execution of our innovative, award winning digital strategy, driving engagement and awareness.

SALES

- Wapic Ghana continues to deepen its retail distribution, with significant gains in bancassurance and sales of our innovative MOOV product, already impacting the topline.
- We have structured the Retail sales function to leverage relationships with the Wapic value chain, in line with recent Regulatory guidelines on bancassurance.

PEOPLE

- As a foundation to our strategic drive for the best talent in the industry, we have restructured the organization for value, performance and engagement. Investments in talent development are expected to manifest in productivity gains.
- We are inculcating the behaviors, culture and innovation associated with leading customer experience providers.
- We remain focused on a performance driven organization, with significant improvements in employee engagement initiatives anchored by staff, for staff.

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Thank you

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Appendix

Appendix: Historical performance (Group)

The Group has recorded Improved historical topline growth over the past five years with 407% CAGR in gross premium income as at FY 2016

Ghana's contribution to the group's GPI has averaged 13% over the past 4 years

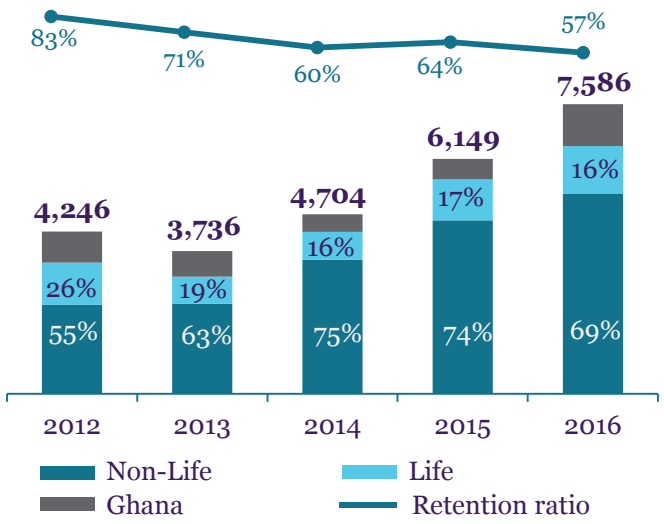
The Life subsidiary closed at an underwriting loss position of N258m in FY'16, further impacting the overall Group's performance

PAT down by 55% to N586m in FY'16 (FY'15: N1.3bn) driving the profit margin ratio to 7%

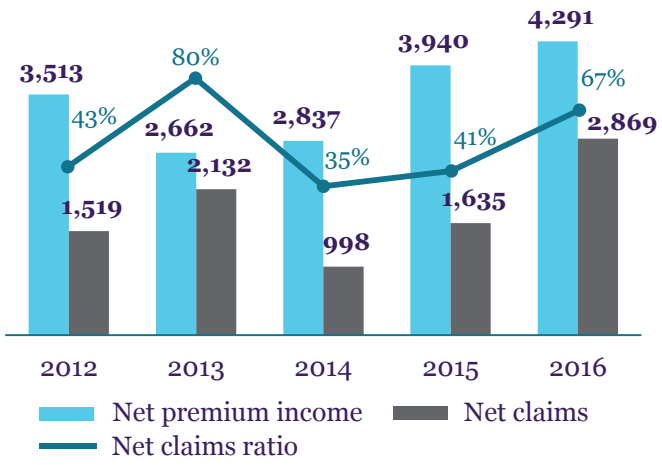
Growing long term investment strategy over the last four years. Short term investment share of the portfolio at 37% in FY 2016

Return on equity down marginally to 4% in FY 2016

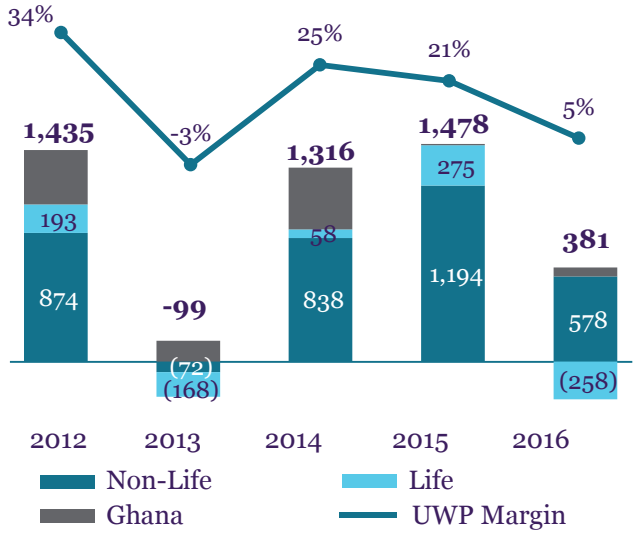
Gross premium income (N'm)



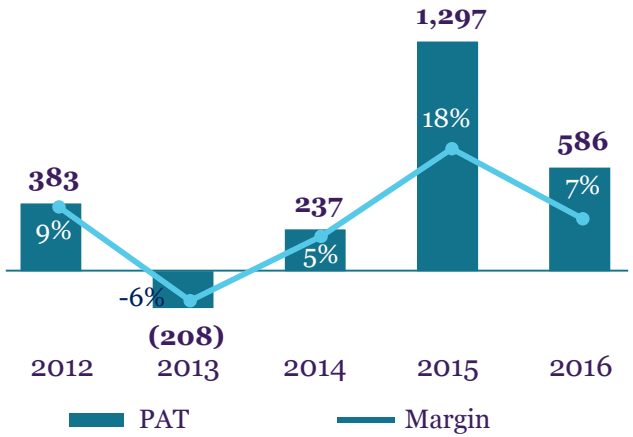
Claims trend (N'm)



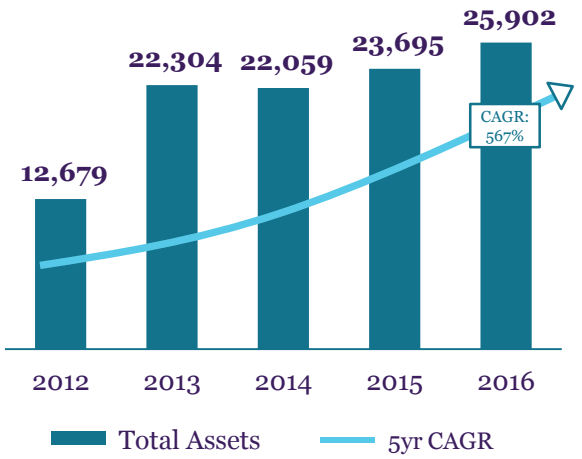
Underwriting profit (N'm)



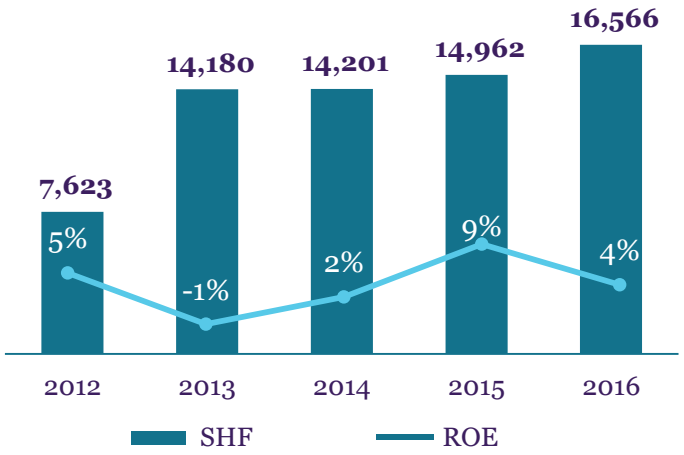
Profit after Tax (N'm)



Total Assets (N'm)



Shareholders funds (N'm)



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Appendix: Group growth in context

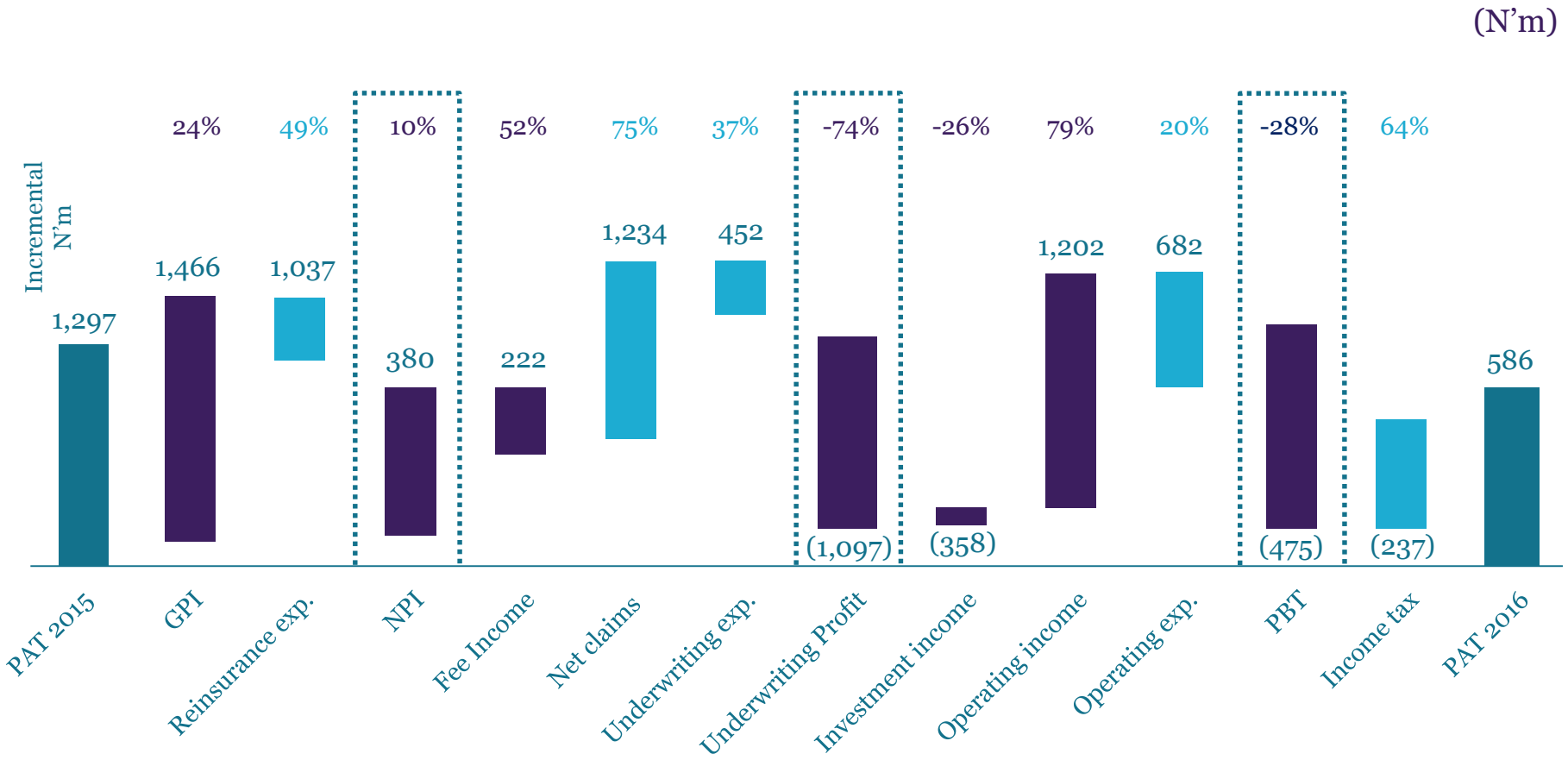
The implementation of the group's 5 year strategic plan continues to pay off as GPI grew by 24% YoY in FY 2016

A drop in underwriting profit driven by high claims payout experienced during the period.

Increase in IBNR for the period further impacts the Net claims expense position.

Growth in operating income further helped strengthen the bottom line position.

Tax charge for the year increased by 64% y/y to N607m in FY2016 (FY2015: N370m)



*Operating income comprises profit on investment contracts, Net realised (loss)/gain on assets at fair value through profit and loss and other operating income.

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